

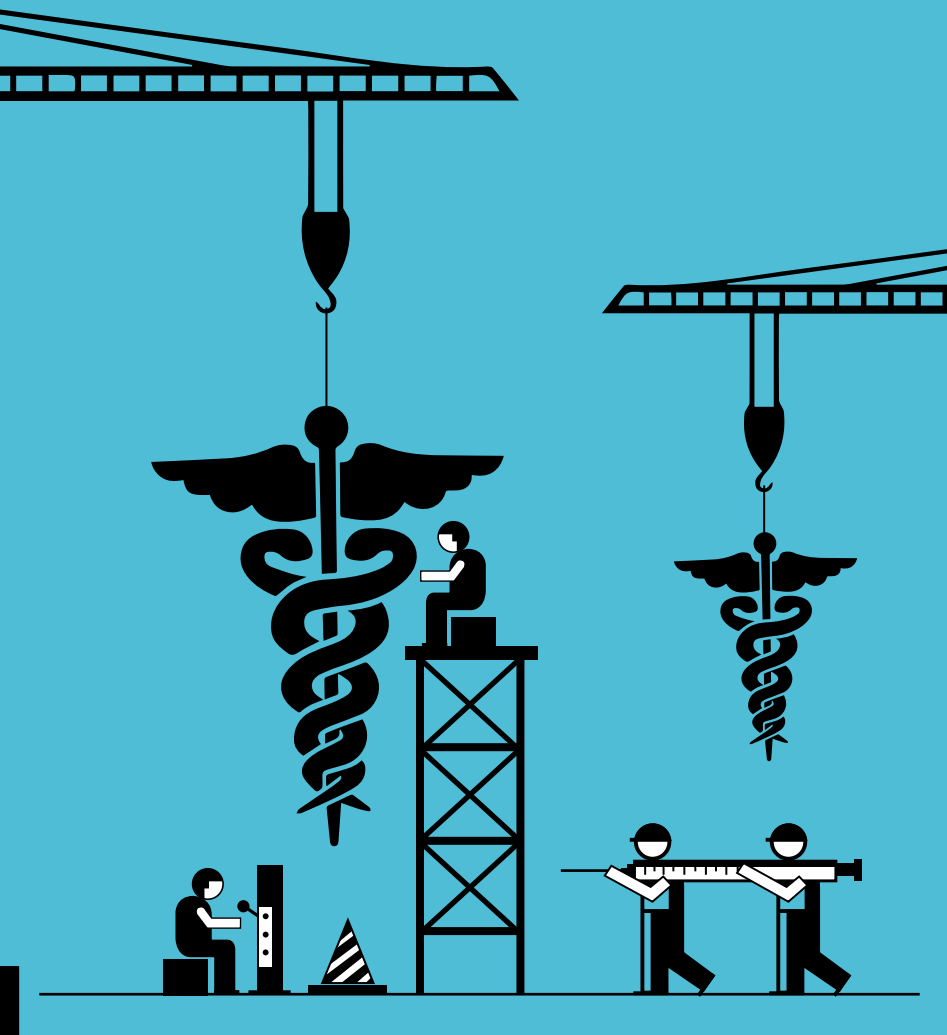


ILLUSTRATION BY ANIRBAN GHOSH

healthcare system.

Kiran Mazumdar-Shaw, Executive Chairperson of Biocon and Biocon Biologics, acknowledges that digitised health records, telemedicine, e-prescriptions and online pharmacies are transforming the sector. “The Ayushman Bharat Digital Mission, launched in 2021, laid the foundation necessary to support an integrated digital health infrastructure aimed at achieving universal health coverage,” notes Mazumdar-Shaw, but, she says, there is an urgent need to refine and expedite regulation of telemedicine and online pharmacies.

The National Health Authority says only 30% of Indians are covered by health insurance, leaving

the rest open to financial risks associated with healthcare needs. Recent studies done after the pandemic indicate increased spending on health and insurance by Indians.

Abhay Soi, Chairman and Managing Director of Max Healthcare, still sees growth potential: “With increased per capita income translating to greater purchasing power, it is expected that more people will purchase health insurance.”

India’s current health expenditure, at 2.1% of GDP in 2023, is way below the world average of 9.9% and even against countries that have similar economic standing—China’s number is 5.34%, Indonesia’s 3.41%, Brazil’s 7.08%, and South Africa’s 8.88%. “The govern-

ATTENTION NEEDED

HEALTHCARE

- **Uneven access** Rural healthcare remains neglected. Inadequate infrastructure has created a two-tier system
- **NCD burden** These diseases contribute to over 71% of deaths, driven by unhealthy lifestyles and limited preventive care
- **High out-of-pocket spending** India’s out-of-pocket healthcare expenditure hovers at 60%, pushing vulnerable populations into poverty

PHARMACEUTICALS

- **Low R&D spending** At 1.2% of GDP, India’s R&D spend hinders innovation and increases imports
- **Capacity constraints** Insufficient production capacity for essential drugs and lack of focus on complex generics.
- **IP challenges** Navigating complex patent landscapes and supporting domestic innovation are crucial

DIAGNOSTICS

- **Limited access** Rural areas lack access to advanced diagnostic facilities, delaying diagnoses and treatment
- **Dependence on imports** Heavy imports of advanced equipment and reagents impact affordability and accessibility
- **Workforce challenge** Skilled personnel to operate and interpret complex diagnostic tests are scarce